Chapter 3 | Practice Questions

The Income Statement

These questions are adapted from the Connect homework.
If something looks off, check it against Connect first.
If it still looks wrong, report it to me (yu10j@cmich.edu).

Set 1 | Revenue Recognition INDEPENDENT

All transactions occurred in September.

Q1. Revenues should be recognized when or as the company performs the acts promised to the customer. For each transaction, is revenue recognized in September?

	Activity	Answer
1.	a. A customer paid for and downloaded song files from Apple's iTunes store for $10 cash. Answer from Apple's standpoint.	_____
2.	b. The Home Depot provided a carpet installation for $2,000 cash. A comparable installation from other companies costs $3,000.	_____
3.	c. AT&T is scheduled to install digital cable at 1,000 Austin area homes next week at $100 per home, payable within 30 days of installation.	_____
4.	d. AT&T completed the installations described in (c).	_____
5.	e. AT&T received payment from customers for the installations described in (c).	_____
6.	f. A customer purchased a ticket from American Airlines in September for $500 cash to travel in December.	_____

Choices: **A.** Yes **B.** No

Q2. AT&T completed digital cable installations at **1,000 homes** at an installation charge of **$100 per home**, with payment due within 30 days. How much revenue does AT&T recognize?

A. $0
B. $100
C. $1,000
D. $1,100
E. $100,000

Q3. The Home Depot provided a carpet installation for **$2,000 cash**. A comparable installation from other companies costs **$3,000**. How much revenue does The Home Depot recognize?

A. $1,000
B. $2,000
C. $2,500
D. $3,000
E. $5,000

Answers, Set 1:
Q1. 1 A 2 A 3 B 4 A 5 B 6 B
Q2. E
Q3. B

Set 2 | Deferred Revenue INDEPENDENT

All transactions occurred in September.

Q1. For each transaction, is revenue recognized in September?

	Activity	Answer
1.	a. Gillespie Enterprises Incorporated issued $26 million in new common stock.	_____
2.	b. Cal State University received $20,000,000 cash for 80,000 five-game-season football tickets. None of the games have been played.	_____
3.	c. Cal State played the first football game referred to in (b).	_____
4.	d. Hall Construction signed a contract for a $500,000 warehouse and received a $50,000 deposit at signing, before construction began.	_____
5.	e. A snowboarding magazine received $1,800 from subscribers whose subscriptions begin in the next fiscal year.	_____
6.	f. T-Mobile sold a $100 cell phone plan for service in September to a customer who charged the sale on his credit card.	_____

Choices: **A.** Yes **B.** No

Q2. Cal State University received **$20,000,000** for **80,000 five-game-season** football tickets and has now played the **first game**. How much revenue does it recognize?

A. $0
B. $80,000
C. $4,000,000
D. $16,000,000
E. $20,000,000

Answers, Set 2:
Q1. 1 B 2 B 3 A 4 B 5 B 6 A
Q2. C

Set 3 | Expense Recognition INDEPENDENT

All transactions occurred in January.

Q1. Under accrual basis accounting, expenses are recognized when incurred, which means the activity giving rise to the expense has occurred. For each transaction, is an expense recognized in January?

	Activity	Answer
1.	a. Dell paid its computer service technicians $90,000 in salary for work done in January.	_____
2.	b. At the beginning of January, Turner Construction Company paid $3,000 in rent for February-April.	_____
3.	c. McGraw-Hill Education used $3,000 worth of electricity and natural gas in January, which it has not paid or recorded.	_____
4.	d. Pooler Company received and paid in January a $1,500 invoice from a consulting firm for services received in January.	_____
5.	e. The campus bookstore received consulting services at a cost of $5,000, with payment due within 30 days of the consultation.	_____
6.	f. Schergevitch Incorporated had its delivery van repaired in January for $280 and charged the amount on account.	_____

Choices: **A.** Yes **B.** No

Q2. At the beginning of January, Turner Construction Company paid **$3,000** in rent covering **February, March, and April**. How much rent expense does it recognize in **February**?

A. $0
B. $1,000
C. $1,500
D. $2,000
E. $3,000

Answers, Set 3:
Q1. 1 A 2 B 3 A 4 A 5 A 6 A
Q2. B

Set 4 | Bills — Revenue INDEPENDENT

Q1. The following transactions are July activities of **Bill's Extreme Bowling, Incorporated**, which operates several bowling centers. Decide whether each statement is true or false.

	Statement	Answer
1.	The $12,000 Bill's collected from customers for games played in July is revenue in July.	_____
2.	Because the customer will not pay until August, the $250 party held on the last day of July produces no revenue in July.	_____
3.	The $1,500 of advance payments for the fall season starting in September is revenue in July.	_____
4.	The $1,000 Bill's received in July from credit sales made in June is revenue in July.	_____

Choices: **A.** True **B.** False

Answers, Set 4:
Q1. 1 A 2 B 3 B 4 B

Set 5 | Bills — Expense INDEPENDENT

Q1. The following transactions are July activities of **Bill's Extreme Bowling, Incorporated**, which operates several bowling centers. Decide whether each statement is true or false.

	Statement	Answer
1.	The $1,500 paid in July to plumbers for repairing a broken pipe is a July expense.	_____
2.	The $2,000 paid in July for the electricity bill received in June is a July expense.	_____
3.	Because it will not be paid until August, the $2,500 July electricity bill is not a July expense.	_____
4.	The $5,475 paid to employees for work done in July is a July expense.	_____

Choices: **A.** True **B.** False

Answers, Set 5:
Q1. 1 A 2 B 3 B 4 A

Set 6 | Cash vs. Accrual INDEPENDENT One basis per question.

Mostert Music Company had the following transactions in March:

a. Sold music lessons to customers for $10,000; received $6,000 in cash and the rest on account.
b. Paid $600 in wages for the month.
c. Received a $200 bill for utilities that will be paid in April.
d. Received $1,000 from customers as deposits on music lessons to be given in April.

Q1. On the **cash basis**, determine each amount for the month ended March 31.

	A	B	C	D	E
1. Total Revenues	$6,000	$7,000	$9,000	$10,000	$11,000
2. Total Expenses	$200	$400	$600	$800	$1,000
3. Cash Income	$5,400	$6,200	$6,400	$9,200	$10,400

Q2. On the **accrual basis**, determine each amount for the month ended March 31.

	A	B	C	D	E
1. Total Revenues	$4,000	$6,000	$7,000	$10,000	$11,000
2. Total Expenses	$200	$400	$600	$800	$1,000
3. Net Income	$5,400	$6,400	$9,200	$9,400	$10,200

Q3. Under the accrual basis, how is the **$1,000 of deposits** reported at March 31?

A. Revenue, because the cash was received
B. An expense of the period
C. A reduction of accounts receivable
D. Not reported, because no revenue has been earned yet
E. A liability, because lessons are still owed to those customers

Answers, Set 6:
Q1. 1 B 2 C 3 C
Q2. 1 D 2 D 3 C
Q3. E

Set 7 | Bills — Revenue Entries INDEPENDENT One transaction per view.

The following are July activities of Bill's Extreme Bowling, Incorporated.

Q1. **a.** Bill's collected $12,000 from customers for services related to games played in July. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	12,000	
(b) _____		12,000

Q2. **b.** Bill's billed a customer for $250 for a party held at the center on the last day of July. The bill is to be paid in August. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	250	
(b) _____		250

Q3. **c.** The men's and women's bowling leagues gave Bill's advance payments totaling $1,500 for the fall season that starts in September. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	1,500	
(b) _____		1,500

Q4. **d.** Bill's received $1,000 from credit sales made to customers last month (in June). Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	1,000	
(b) _____		1,000

Accounts

Choose the correct account for each blank. An account may be used more than once, or not at all.

A. Accounts Payable
B. Accounts Receivable
C. Buildings
D. Cash
E. Deferred Revenue
F. Prepaid Expenses
G. Repairs and Maintenance Expense
H. Salaries and Wages Expense
I. Service Revenue
J. Utilities Expense

Answers, Set 7:
Q1. (a) **D.** Cash (b) **I.** Service Revenue
Q2. (a) **B.** Accounts Receivable (b) **I.** Service Revenue
Q3. (a) **D.** Cash (b) **E.** Deferred Revenue
Q4. (a) **D.** Cash (b) **B.** Accounts Receivable

Set 8 | Bills — Expense Entries INDEPENDENT One transaction per view.

The following are July activities of Bill's Extreme Bowling, Incorporated.

Q1. a. Bill's paid $1,500 to plumbers for repairing a broken pipe in the restrooms. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	1,500	
(b) _____		1,500

Q2. b(1). Bill's paid $2,000 for the electricity bill received in **June**. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	2,000	
(b) _____		2,000

Q3. b(2). Bill's received the July electricity bill for $2,500, which will be paid in August. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	2,500	
(b) _____		2,500

Q4. c. Bill's paid $5,475 to employees for work in July. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	5,475	
(b) _____		5,475

Accounts

Choose the correct account for each blank. An account may be used more than once, or not at all.

A. Accounts Payable
B. Accounts Receivable
C. Buildings
D. Cash
E. Deferred Revenue
F. Prepaid Expenses
G. Repairs and Maintenance Expense
H. Salaries and Wages Expense
I. Service Revenue
J. Utilities Expense

Answers, Set 8:
Q1. (a) **G.** Repairs and Maintenance Expense (b) **D.** Cash
Q2. (a) **A.** Accounts Payable (b) **D.** Cash
Q3. (a) **J.** Utilities Expense (b) **A.** Accounts Payable
Q4. (a) **H.** Salaries and Wages Expense (b) **D.** Cash

Set 9 | OTT Entries INDEPENDENT One transaction per view, recorded by OTT.

Over-the-Top Technologies (OTT) operates a computer repair and web consulting business. **News Now (NN)** publishes a local newspaper. Record each item as **OTT** would.

Q1. a. NN billed OTT for $500 of advertising services provided this month on account. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	500	
(b) _____		500

Q2. b. OTT repaired some of NN's equipment this month, for $135 on account. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	135	
(b) _____		135

Q3. c. NN collected $500 cash from OTT for the advertising services provided in (a). Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	500	
(b) _____		500

Q4. d. NN paid $60 cash to OTT for OTT advertising NN's online newspaper this month on OTT's website. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	60	
(b) _____		60

Q5. e. OTT and NN signed a promissory note, documenting OTT's $1,000 cash loan to NN this month, with repayment to occur in six months. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	1,000	
(b) _____		1,000

Accounts

Choose the correct account for each blank. An account may be used more than once, or not at all.

A. Accounts Payable
B. Accounts Receivable
C. Advertising Expense
D. Advertising Revenue
E. Cash
F. Interest Revenue
G. Notes Payable
H. Notes Receivable
I. Repairs and Maintenance Expense
J. Service Revenue

Answers, Set 9:
Q1. (a) **C.** Advertising Expense (b) **A.** Accounts Payable
Q2. (a) **B.** Accounts Receivable (b) **J.** Service Revenue
Q3. (a) **A.** Accounts Payable (b) **E.** Cash
Q4. (a) **E.** Cash (b) **D.** Advertising Revenue
Q5. (a) **H.** Notes Receivable (b) **E.** Cash

Set 10 | NewsNow Entries INDEPENDENT The identical five transactions, recorded by NN.

Over-the-Top Technologies (OTT) operates a computer repair and web consulting business. **News Now (NN)** publishes a local newspaper. Record each item as **NN** would.

Q1. a. NN billed OTT for $500 of advertising services provided this month on account. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	500	
(b) _____		500

Q2. b. OTT repaired some of NN's equipment this month, for $135 on account. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	135	
(b) _____		135

Q3. c. NN collected $500 cash from OTT for the advertising services provided in (a). Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	500	
(b) _____		500

Q4. d. NN paid $60 cash to OTT for OTT advertising NN's online newspaper this month on OTT's website. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	60	
(b) _____		60

Q5. e. OTT and NN signed a promissory note, documenting OTT's $1,000 cash loan to NN this month, with repayment to occur in six months. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	1,000	
(b) _____		1,000

Accounts

Choose the correct account for each blank. An account may be used more than once, or not at all.

A. Accounts Payable
B. Accounts Receivable
C. Advertising Expense
D. Advertising Revenue
E. Cash
F. Equipment
G. Notes Payable
H. Notes Receivable
I. Repairs and Maintenance Expense
J. Service Revenue

Answers, Set 10:
Q1. (a) **B.** Accounts Receivable (b) **D.** Advertising Revenue
Q2. (a) **I.** Repairs and Maintenance Expense (b) **A.** Accounts Payable
Q3. (a) **E.** Cash (b) **B.** Accounts Receivable
Q4. (a) **C.** Advertising Expense (b) **E.** Cash
Q5. (a) **E.** Cash (b) **G.** Notes Payable

Set 11 | Quick Cleaners LINKED The last question totals the entries before it.

Quick Cleaners, Incorporated (QCI) has been in business for several years. It specializes in cleaning houses but has some small business clients as well.

Q1. **a.** Issued $25,000 of QCI stock for cash. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	25,000	
(b) _____		25,000

Q2. **b.** Incurred $600 of utilities costs this month and will pay them next month. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	600	
(b) _____		600

Q3. **c.** Incurred and paid wages for the current month, totaling $2,000. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	2,000	
(b) _____		2,000

Q4. **d.** Performed cleaning services on account worth $2,800. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	2,800	
(b) _____		2,800

Q5. **e.** Some of QCI's equipment was repaired at a total cost of $150, paid in full at the time the repair work was done. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	150	
(b) _____		150

Q6. Determine QCI's **preliminary net income** for the month.

A. $50
B. $200

C. $2,050
D. $2,800
E. $25,050

Accounts

Choose the correct account for each blank. An account may be used more than once, or not at all.

A. Accounts Payable
B. Accounts Receivable
C. Cash
D. Common Stock
E. Equipment
F. Repairs and Maintenance Expense
G. Salaries and Wages Expense
H. Salaries and Wages Payable
I. Service Revenue
J. Utilities Expense

Answers, Set 11:
Q1. (a) **C.** Cash (b) **D.** Common Stock
Q2. (a) **J.** Utilities Expense (b) **A.** Accounts Payable
Q3. (a) **G.** Salaries and Wages Expense (b) **C.** Cash
Q4. (a) **B.** Accounts Receivable (b) **I.** Service Revenue
Q5. (a) **F.** Repairs and Maintenance Expense (b) **C.** Cash
Q6. A

Set 12 | Net Profit Margin LINKED The second question compares the margins computed in the first.

Airbnb Incorporated and **Booking.com** compete for online travel bookings. The following amounts were reported by the two companies in the three months ended June 30, 2022.

(in millions)	Net Income	Current Assets	Current Liabilities	Total Revenues
Airbnb Incorporated	$379	$12,386	$6,359	$2,104
Booking.com	857	14,924	10,282	4,294

Q1. Calculate each company's net profit margin expressed as a percent, rounded to 1 decimal place.

	A	B	C	D	E
1. Airbnb Incorporated	3.1%	6.0%	18.0%	20.0%	555.1%
2. Booking.com	5.7%	8.3%	18.0%	20.0%	501.1%

Q2. Which company has generated a greater return of profit from each revenue dollar?

A. Booking.com, because its margin is higher
B. Airbnb Incorporated, because its margin is higher
C. Booking.com, because its net income is larger
D. Airbnb Incorporated, because its current ratio is higher
E. They are equally efficient

Answers, Set 12:
Q1. 1 C 2 D
Q2. A

Set 13 | Tongo LINKED The last question totals the entries before it.

In January, **Tongo, Incorporated**, a branding consultant, had the transactions shown below. Record the effects of each item using a journal entry.

Q1. **a.** Received $9,500 cash for consulting services rendered in January. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	9,500	
(b) _____		9,500

Q2. **b.** Issued common stock to investors for $10,000 cash. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	10,000	
(b) _____		10,000

Q3. **c.** Purchased $12,000 of equipment, paying 25% in cash and owing the rest on a note due in 2 years. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	12,000	
(b) _____		3,000
(c) _____		9,000

Q4. **d.** Received $7,500 cash for consulting services to be performed in February. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	7,500	
(b) _____		7,500

Q5. **e.** Bought and received $1,000 of supplies on account. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	1,000	
(b) _____		1,000

Q6. **f.** Received the utility bill for January for $1,250, due February 15. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	1,250	
(b) _____		1,250

Q7. **g.** Consulted for customers in January for fees totaling $15,900, due in February. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	15,900	
(b) _____		15,900

Q8. **h.** Received $12,000 cash for consulting services rendered in **December**. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	12,000	
(b) _____		12,000

Q9. **i.** Paid $500 toward the supplies purchased in (e). Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	500	
(b) _____		500

Q10. What is Tongo's **January net income**?

A. $23,150
B. $24,150
C. $25,400
D. $32,900
E. $43,650

Accounts

Choose the correct account for each blank. An account may be used more than once, or not at all.

A. Accounts Payable
B. Accounts Receivable
C. Cash
D. Common Stock
E. Deferred Revenue
F. Equipment
G. Notes Payable
H. Service Revenue
I. Supplies
J. Utilities Expense

Answers, Set 13:
Q1. (a) **C.** Cash (b) **H.** Service Revenue
Q2. (a) **C.** Cash (b) **D.** Common Stock
Q3. (a) **F.** Equipment (b) **C.** Cash (c) **G.** Notes Payable
Q4. (a) **C.** Cash (b) **E.** Deferred Revenue
Q5. (a) **I.** Supplies (b) **A.** Accounts Payable
Q6. (a) **J.** Utilities Expense (b) **A.** Accounts Payable
Q7. (a) **B.** Accounts Receivable (b) **H.** Service Revenue
Q8. (a) **C.** Cash (b) **B.** Accounts Receivable
Q9. (a) **A.** Accounts Payable (b) **C.** Cash
Q10. B